

I. Fundamental Marketing Strategies

1. Communicate to consumers the most positive interpretation of their current perception of the established brands. This is building on brand equities, not fundamental repositioning.
2. Continue aggressive new product development and testing with the major thrust toward product innovation.
3. Maximise resource productivity.
 - Continue KOOL/BARCLAY concentration.
 - Target efforts on all brands to historically most receptive smokers.
 - Set marketing budgets in light of specific competitive set for each brand.
 - Heighten distinctiveness of all advertising and promotion execution.
 - Seek out new opportunistic media/programs and continue current such as ENDF.
 - Refine sales force support including manpower complement/structure, deployment, and contract/fixtures merchandising.
4. Protect current brand portfolio and meet volume requirements through increased short-term volume generating activity and an intensified role for the sales force.
5. Continue pursuit of superior product smoking quality across all brands, particularly KOOL and BARCLAY.

Individual Established Brand Strategies

II. KOOL

A. Overview

- Share decline since 1975.
- Inflows low.
 - Starter inflow declining rapidly.
- Spending behind current strategy execution has not been effective.
 - Campaign lacked sufficient product or image relevance.